

② Price - Earnings Ratio

TTM P/E (Trailing Twelve Months)

→ Reality

Price ÷ earnings from the last 12 months

→ What the company has already delivered

Forward P/E

→ Expectations

Price ÷ **expected** earnings (next 12 months)

→ What the market **expects** the company to deliver

● Case 1: Forward P/E < TTM P/E ✓ (BEST)

Meaning:

- Earnings are expected to **grow**
- Valuation is **improving**

→ Healthy growth setup

→ Good for holding or buying on pullbacks

Example:

- TTM P/E = 30
- Forward P/E = 20

📈 P/E compresses → price can rise without overvaluation

● Case 2: Forward P/E ≈ TTM P/E

Meaning:

- Earnings expected to be **flat**
- Price already reflects reality

→ Okay for stable businesses

→ Don't expect big upside

● Case 3: Forward P/E > TTM P/E ⚠

Meaning:

- Earnings expected to **decline**
- Or forecasts were cut

→ Risk of valuation shock

→ Avoid or reduce position

Example:

- TTM P/E = 20
- Forward P/E = 30

📈 P/E expanding → price vulnerable

4 What is a "good" P/E? (context matters)

Growth companies

- High TTM P/E is OK if Forward P/E drops sharply

Mature companies

- TTM P/E should be low/moderate
- Forward P/E should be similar or slightly lower

6 When P/E is NOT useful 🚫

- Company is **loss-making**
- Earnings are **cyclical** or **distorted**
- Heavy one-off items

In these cases:

→ Use revenue growth, cash flow, or margins instead